European Cross-Commodity Risk Pack: Gas + Carbon □ Power Curve Implications

Daily desk brief — 2026-05-08
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Generated by `scripts/generate_brief.py`. AI narrative + news themes via Anthropic Claude.

> □ **Data-freshness caveat**: Clean Dark (last 2025-12-31, 128d old); Coal (last 2025-12-26, 133d old). Numbers below should be read with this in mind.

1 · Executive summary

TL;DR — GB Power at 93rd percentile and Clean Spark at 92nd percentile signal tight thermal dispatch; Hormuz closure and Iran sanctions sustain geopolitical LNG premium despite storage 12 pp below seasonal.

GB Power at 126.88 EUR/MWh (93rd percentile) and Clean Spark at 92nd percentile expose tight thermal dispatch as renewables collapse to 18th percentile, forcing baseload reliance despite coal data 133 days stale. The Hormuz closure since 28 February sustains a geopolitical LNG premium that keeps spot cargoes diverted to Asia and embeds security uplift across NW Europe day-ahead and TTF; storage at 34.26% (11th percentile, 12.4 percentage points below seasonal) narrows refill headroom into June and sharpens Cal+1 summer risk. With coal merit-order confidence impaired by stale data, the dark spread at 50th percentile may understate switching optionality if recent coal weakness extends further. Hormuz corridor escalation locks thermal tightness and LNG premium into front-curve risk while storage deficit compresses Cal+1 power headroom.

*Generated by **claude-haiku-4-5** via Anthropic API (two-pass extract□ narrate). Prompts/responses logged to `ai/logs/`.*

2 · Monitor metrics

Primary (cross-commodity headline tiles)

Metric	As of	Latest	Unit	1d Δ	1w Δ	5y pctile	Headline
TTF Gas	2026-05-07	43.72	EUR/MWh	-0.40%	+1.12%	57	Within typical range
EU Storage	2026-05-06	34.26	% full	+0.03%	+4.50%	11	12.4 pp below the 5-yr seasonal average
EUA Carbon	2026-05-07	31.54	EUR/tCO2	-1.47%	+1.75%	26	Within typical range
DE Power	2026-05-08	138.00	EUR/MWh	+1.42%	+93.57%	76	Within typical range
GB Power	2026-05-08	126.88	EUR/MWh	-7.87%	+22.67%	93	93th-percentile of 5-yr range — historically high
Renewables	2026-05-07	27.07	% of load	-32.82%	-41.24%	18	Within typical range
Clean Spark	2026-05-08	38.94	EUR/MWh	+1.94	+78.77	92	92th-percentile of 5-yr range — historically high

Metric	As of	Latest	Unit	1d Δ	1w Δ	5y pctile	Headline
Clean Dark	2025-12-31 □ STALE	27.95	EUR/MWh	-0.56	+11.63	50	Within typical range

Fundamentals inputs *(feed derived metrics; not separately traded)*

Metric	As of	Latest	Unit	1d Δ	1w Δ	5y pctile	Headline
Coal	2025-12-26 □ STALE	96.00	USD/t	-0.57%	+0.08%	8	8th-percentile of 5-yr range — historically low

Spreads □ abs EUR/MWh deltas; others □ pct. Weekly Δ uses 5d trailing means. Full history in `data/<metric>.csv`.

3 · Gas + LNG arb

TTF front-month prints at 43.72 EUR/MWh — *Within typical range*. **EU storage** at 34.3% full (-12.4 pp vs 5-yr seasonal avg) — *12.4 pp below the 5-yr seasonal average*.

4 · Carbon (EU ETS)

EUA December prints at 31.54 EUR/tCO2 — *Within typical range*. A euro of EUA adds ~0.37 EUR/MWh to gas-fired and ~0.85 EUR/MWh to coal-fired generation cost; strength compresses the dark spread faster than the spark.

Supply / policy signal — *CBAM full operational phase live since 1 Jan 2026 — importers paying for embedded emissions*
Side: `policy` · Polarity: `bullish EUA` · Source: EU Regulation 2023/956 (CBAM)

Domestic carbon-cost burden gradually levelled with imports; supports EUA demand floor as carbon leakage protection tightens through 2034.

No ETS-relevant news surfaced today — falling back to `data/policy_facts.py` (hand-maintained structural fact pack). Fact pack last reviewed 2026-05-07 (1d ago).

5 · Power — Day-Ahead & curve

DE day-ahead baseload at 138.00 EUR/MWh — *Within typical range*. **GB day-ahead baseload** at 126.88 EUR/MWh — *93th-percentile of 5-yr range — historically high*. **DE – GB spread** at +11.12 EUR/MWh (DE premium) — drives interconnector flow direction.

Clean spark spread at +38.94 EUR/MWh — *92th-percentile of 5-yr range — historically high*. Bridge from gas + carbon fundamentals to gas-fired economics; sustained positive spark = TTF moves transmit directly into the power curve.

Dark spread suppressed: coal data 133d old (last 2025-12-26); spark alone carries the regime read.

DA / Cal+1 (model) at 138.00 / 91.15 EUR/MWh; spread +46.85 EUR/MWh — **backwardation**. Front absorbs storage and outage shocks; Cal+1 reflects the structural carbon-and-fuel trajectory. Cal+1 here is a backward-looking seasonality projection — see Methodology.

This week ahead

- **Fri** 14:30 UTC — EIA weekly natural gas storage report: US storage trajectory anchors LNG export pricing into NW Europe — direct TTF transmission.
- **Fri** — ENTSO-E weekly day-ahead volumes / system-balance summary: Reads the European generation mix in last 7d — confirms or breaks the Cal+1 thesis.
- **Tue** 08:00 UTC — AGSI+ daily storage print: First read on the week's gas injection / withdrawal pace; sets the tone for TTF curve shape.

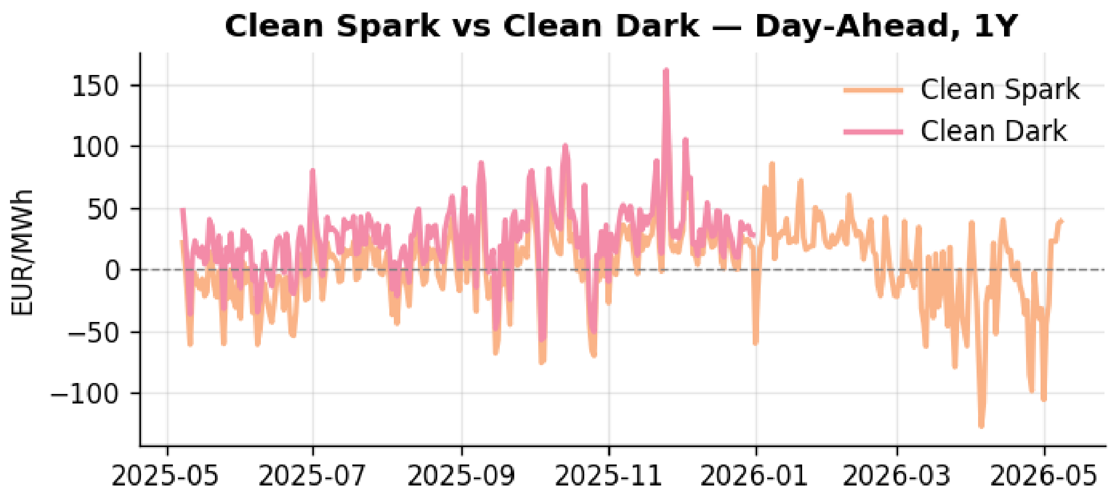

Figure 1: Clean Spreads

- **TBD** — Hormuz corridor reopening or further escalation: Geopolitical trigger for ±15–20% TTF revaluation and LNG curve steepening reset. *(news-extracted)*

Scenarios (1w horizon)

	Summary	TTF	DE Power
Base	Renewables remain 18th percentile; thermal locked in for dispatch; Hormuz premium persists; storage inches up but stays tight.	−2–+1%	−1–+2%
Upside	Hormuz corridor escalation deepens; Iran sanctions widen LNG shortage; EU forced to bid harder for spot cargoes; storage refill slows.	+12–+18%	+8–+14%
Downside	Hormuz reopens or tensions ease; renewable forecast upgrade; storage refill accelerates; LNG arbitrage compresses and coal merit-order relief eases.	−8–−4%	−6–−2%

Illustrative, not forecasts. Magnitudes sized off historical sensitivity; AI-generated from today's extract pass.

6 · Today's themes

Watchlist (1–4 weeks) - Hormuz corridor reopening status; impact on LNG flows to NW Europe and TTF price reset. - Belgium nuclear takeover timeline and implications for winter capacity and gas-fired margin calls.

*5 structured themes in `data/ai_news_themes.json` — **claude-haiku-4-5** from 18 headlines.*

*Methodology + sources: **README §Methodology**. Numbers auditable via the snapshot JSONs. Rule-based / informational — not investment advice.*